

A few decades ago, a side hustle mostly meant one was saving up for a big expense like buying a car or that home theatre which was so appealing. Today, a side hustle is all about ending a month without going hungry or a delay in paying out rent. It was easy to save money from the salary, even if it was little, today if you ask someone from among the GenZ about saving money, they would stare in disbelief. It is not that they aren't trying, money just doesn't seem to be enough today. Rising living costs, economic uncertainty and jobs are all causes of concern when managing one's finances.

Traditional personal finance advice—save 10 per cent of your income, don't spend over 40-45 per cent of your income on rent and household expenses or don't pay EMIs of over 25-30 per cent of your income—are all statements that sound good in theory, but the way we deal with money these days is different and complicated. Consumer spending is on the rise, unemployment is on the rise and income levels aren't going up fast enough for financial goals to be easily achievable. Personal finance is changing and you need to adapt to knowing the old ways while factoring in the new.

It is appealing for one to go pick that new phone available on EMI rather than wait for months to save up for it. Chances are that the model you saved up for is being phased out and a newer one is more useful. For a youngster, it is more important to have the new gadget now than delay the decision to own it later. Their mindset is different and it is not always to keep up with others. As phones have become essential and their usage a lot more complex than using them for a voice call, they may have professional benefits forcing one to change the phone frequently.

Similarly, the traditional advice to save up to six months of household income towards emergencies fell flat during the pandemic years from 2020. The changing circumstances meant one actually required a lot more money than a few months' household income. Many also faced a situation of lesser pay or job loss, yet often their expenses continued to go up. What we are looking at now is a situation where traditional financial planning at best could be a reference point, but it needs to consider changing lifestyle needs. For instance, retirement at 60 years for a 20-something is far too away to imagine and work on.

PERSONAL FINANCE IS CHANGING. YOU NEED TO KNOW THE OLD ADVICE WHILE FACTORING IN THE CHANGING NEW WAYS



NAVIGATING COMPLEXITIES

There is a general feeling among most salaried people that they aren't earning enough to meet their financial needs and aspirations. While everyone's financial circumstances are different, the reasons why our salaries are just not enough, regardless of how much we earn, are either because the salary is small or expenses are constantly on the rise. Let's face it, the traditional household budgets are difficult to adopt not because it is complex, but because expenses aren't steady anymore. For instance, your grocery bills aren't the same month after month and it is not because you are consuming more, it is because prices are changing far too often.

To hoodwink consumers, many packaged groceries are adopting a shrinking pack-size trick by maintaining the price, but reducing the quantity in the packaging. This is shrinkflation, a concept of making you believe that you aren't paying more, but in reality, you get a lot less for the same price over time. Likewise, the 50/30/20 budget rule which states that you should spend up to 50 per cent of your post-tax income on needs and obligations, 20 per cent to service loans and use the rest the way you want is no more practical.

Moreover, inflation is well understood today when working on financial plans because its impact is felt strongly on not just expenses, but also savings and investments. We have come a long way from a thumb